INDEXES FOR ALTERNATIVE INVESTMENTS

Learning Outcomes

- describe indexes representing alternative investments
- compare types of security market indexes

Many investors seek to lower the risk or enhance the performance of their portfolios by investing in assets classes other than equities and fixed income. Interest in alternative assets and investment strategies has led to the creation of indexes designed to represent broad classes of alternative investments. Three of the most widely followed alternative investment classes are commodities, real estate, and hedge funds.

Commodity Indexes

Commodity indexes consist of futures contracts on one or more commodities, such as agricultural products (rice, wheat, sugar), livestock (cattle, hogs), precious and common metals (gold, silver, copper), and energy commodities (crude oil, natural gas).

Although some commodity indexes may include the same commodities, the returns of these indexes may differ because each index may use a different weighting method. Because commodity indexes do not have an obvious weighting mechanism, such as market capitalization, commodity index providers create their own weighting methods. Some indexes, such as the Thomson Reuters/Core Commodity CRB Index (TR/CC CRB Index), formerly known as the Commodity Research Bureau (CRB) Index, contain a fixed number of commodities that are weighted equally. The S&P GSCI uses a combination of liquidity measures and world production values in its weighting scheme and allocates more weight to commodities that have risen in price. Other indexes have fixed weights that are determined by a committee.

The different weighting methods can also lead to large differences in exposure to specific commodities. The S&P GSCI in 2018, for example, weights the energy-sector approximately 50% higher and the agriculture sector 40% lower than the CRB Index. These differences result in indexes with very different risk and return profiles. Unlike commodity indexes, broad equity and fixed-income indexes that target the same markets share similar risk and return profiles.

The performance of commodity indexes can also be quite different from their underlying commodities because the indexes consist of futures contracts on the commodities rather than the actual commodities. Index returns are affected by factors other than changes in the prices of the underlying commodities because futures contracts must be continually “rolled over” (i.e., replacing a contract nearing expiration with a new contract). Commodity index returns reflect the risk-free interest rate, the changes in future prices, and the roll yield. Therefore, a commodity index return can be quite different from the return based on changes in the prices of the underlying commodities.

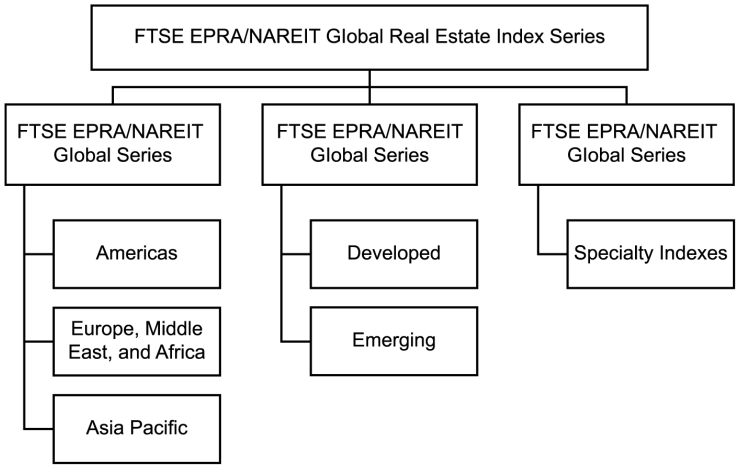
Real Estate Investment Trust Indexes

Real estate indexes represent not only the market for real estate securities but also the market for real estate—a highly illiquid market and asset class with infrequent transactions and pricing information. Real estate indexes can be categorized as appraisal indexes, repeat sales indexes, and real estate investment trust (REIT) indexes.

REIT indexes consist of shares of publicly traded REITs. REITS are public or private corporations organized specifically to invest in real estate, either through ownership of properties or investment in mortgages. Shares of public REITs are traded on the world’s various stock exchanges and are a popular choice for investing in commercial real estate

represent trends in real estate stocks worldwide and includes representation from the European Public Real Estate Association (EPRA) and the National Association of Real Estate Investment Trusts (NAREIT).

Exhibit 11: The FTSE EPRA/NAREIT Global REIT Index Family



▶ Expand / collapse Extended Description

Source: FTSE International, "FTSE EPRA/NAREIT Global & Global Ex US Indices" Factsheet 2009). "FTSE®" is a trade mark of the London Stock Exchange Plc, "NAREIT®" is a trade mark of the National Association of Real Estate Investment Trusts ("NAREIT") and "EPRA®" is a trade mark of the European Public Real Estate Association ("EPRA") and all are used by FTSE International Limited ("FTSE") under license.

Hedge Fund Indexes

Hedge fund indexes reflect the returns on hedge funds. **Hedge funds** are private investment vehicles that typically use leverage and long and short investment strategies.

A number of research organizations maintain databases of hedge fund returns and summarize these returns into indexes. These database indexes are designed to represent the performance of the hedge funds on a very broad global level (hedge funds in general) or the strategy level. Most of these indexes are equal weighted and represent the performance of the hedge funds within a particular database.

Most research organizations rely on the voluntary cooperation of hedge funds to compile performance data. As unregulated entities, however, hedge funds are not required to report their performance to any party other than their investors. Therefore, each hedge fund decides to which database(s) it will report its performance. As a result, rather than index providers determining the constituents, the constituents determine the index.

Frequently, a hedge fund reports its performance to only one database. The result is little overlap of funds covered by the different indexes. With little overlap between their constituents, different global hedge fund indexes may reflect very different performance for the hedge fund industry over the same period of time.

Another consequence of the voluntary performance reporting is the potential for survivorship bias and, therefore, inaccurate performance representation. This means that hedge funds with poor performance may be less likely to report their performance to the database or may stop reporting to the database, so their returns may be excluded when measuring the return of the index. As a result, the index may not accurately reflect actual hedge fund performance so much as the performance of hedge funds that are performing well.

Representative Indexes Worldwide

illustrates the variety of indexes reflecting different asset classes, markets, and weighting methods.

Index	Representing	Number of Securities	Weighting Method	Comments
Dow Jones Industrial Average	US blue chip companies	30	Price	The oldest and most widely known US equity index. *Wall Street Journal* editors choose 30 stocks from among large, mature blue-chip companies.
Nikkei Stock Average	Japanese blue chip companies	225	Modified price	Known as the Nikkei 225 and originally formulated by Dow Jones & Company. Because of extreme variation in price levels of component securities, some high-priced shares are weighted as a fraction of share price.
TOPIX	All companies listed on the Tokyo Stock Exchange First Section	Varies	Float-adjusted market cap	Represents about 93 percent of the market value of all Japanese equities. Contains a large number of very small, illiquid stocks, making exact replication difficult.
MSCI All Country World Index	Stocks of 23 developed and 24 emerging markets	Varies	Free-float-adjusted market cap	Composed of companies representative of the market structure of developed and emerging market countries in the Americas, Europe/Middle East, and Asia/Pacific regions. Price return and total return versions available in both USD and local currencies.
S&P Developed Ex-US BMI Energy Sector Index	Energy sector of developed global markets outside the United States	Varies	Float-adjusted market cap	Serves as a model portfolio for the SPDR® S&P Energy Sector Exchange-Traded Fund (ETF).
Bloomberg Barclays Global Aggregate Bond Index	Investment-grade bonds in the North American, European, and Asian markets	Varies	Market cap	Formerly known as Lehman Brothers Global Aggregate Bond Index.
Markit iBoxx Euro High-Yield Bond Indexes	Sub-investment-grade euro-denominated corporate bonds	Varies	Market cap and variations	Rebalanced monthly. Represents tradable part of market. Price and total return versions available with such analytical values as yield, duration, modified duration, and convexity. Provides

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				and structured products.
FTSE EPRA/NAREIT Global Real Estate Index	Real estate securities in the North American, European, and Asian markets	Varies	Float-adjusted market cap	The stocks of REITs that constitute the index trade on public stock exchanges and may be constituents of equity market indexes.
HFRX Global Hedge Fund Index	Overall composition of the HFR database	Varies	Asset weighted	Comprises all eligible hedge fund strategies. Examples include convertible arbitrage, distressed securities, market neutral, event driven, macro, and relative value arbitrage. Constituent strategies are asset weighted on the basis of asset distribution within the hedge fund industry.
HFRX Equal Weighted Strategies EUR Index	Overall composition of the HFR database	Varies	Equal weighted	Denominated in euros and is constructed from the same strategies as the HFRX Global Hedge Fund Index.
Morningstar Style Indexes	US stocks classified by market cap and value/growth orientation	Varies	Float-adjusted market cap	The nine indexes defined by combinations of market cap (large, mid, and small) and value/growth orientation (value, core, growth) have mutually exclusive constituents and are exhaustive with respect to the Morningstar US Market Index. Each is a model portfolio for one of the iShares Morningstar ETFs.

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UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

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{IN} BLOOMBERG INDEX BROWSER

The Bloomberg IN function allows you to view the most widely used indices by asset class.

> "IN <GO> allows you to see the latest performance data and history for Bloomberg global, multi-asset class family of indices, including the Bloomberg Fixed Income indices, so you can analyze periodic returns and statistical data to make informed investment decisions based on your risk analysis." -Bloomberg

To explore this function, type IN into the Bloomberg command line and press Enter or <GO>. Use the tabs to select the Bloomberg Indices asset class that you want to analyze. The subtabs break down each asset class into the related index families.

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23) China Aggregate	I08271CN	06/02/2023	-0.02%	0.04%	2.24%	2,135
24) Corporate	LUACTRUU	06/02/2023	-0.37%	-0.09%	2.69%	7,623
25) Credit	LGDRTRUU	06/02/2023	-0.30%	0.15%	2.75%	18,740
26) EM USD Aggregate	EMUSTRUU	06/02/2023	0.04%	0.17%	1.95%	2,041
27) Euro-Aggregate	LBEATREU	06/02/2023	-0.18%	-0.06%	2.53%	6,943
28) Global Aggregate	LEGATRUU	06/02/2023	-0.25%	0.19%	1.63%	29,389
29) Global High Yield	LG30TRUU	06/02/2023	0.44%	0.78%	3.41%	3,601
30) Global Inflation-Linked	LF94TRUU	06/02/2023	-0.27%	0.25%	1.20%	154
31) Government-Related	LD08TRUU	06/02/2023	-0.40%	-0.21%	2.55%	1,279
32) Pan-Euro Aggregate	LP06TREU	06/02/2023	-0.18%	0.03%	2.37%	8,928
33) Pan-European High Yield	LP01TREU	06/02/2023	0.15%	0.25%	4.58%	797
34) Treasuries	LGTRTRUU	06/02/2023	-0.26%	0.25%	1.13%	1,829
35) U.S. MBS	LUMSTRUU	06/02/2023	-0.55%	-0.36%	1.93%	940
36) US Aggregate	LBUSTRUU	06/02/2023	-0.51%	-0.28%	2.17%	13,362
37) US Corporate High Yield	LF98TRUU	06/02/2023	0.54%	0.85%	4.53%	1,981
38) US Gov/Credit	LUGCTRUU	06/02/2023	-0.49%	-0.25%	2.27%	9,184
39) US Treasury	LUATTRUU	06/02/2023	-0.58%	-0.36%	1.99%	282

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